

Proposal Summary

Commercial Quotation Approval System Requirement for VKTR

Background

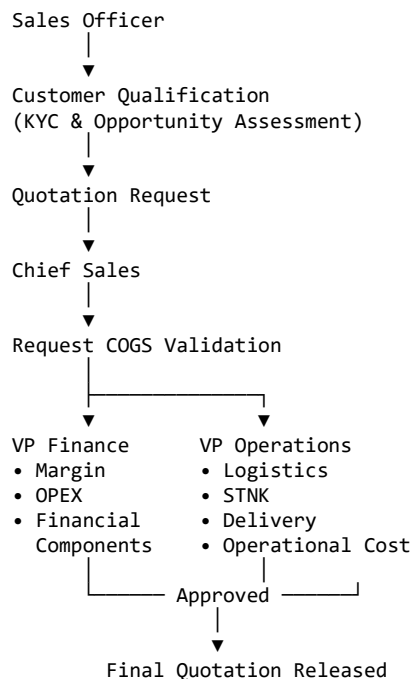
VKTR is seeking to develop a digital application to improve and accelerate the commercial quotation approval process while ensuring every quotation complies with the company's pricing governance and profitability policy.

The initiative was triggered by a recent commercial transaction that exposed a technical gap in the quotation preparation process, resulting in a final selling price that did not align with the company's intended profitability. This highlighted the need for a centralized system capable of validating all pricing components and approval requirements before any quotation is released to customers.

Current Business Process

A. Quotation Process

The current quotation process requires multiple stakeholders to validate different pricing components before a quotation can be issued.

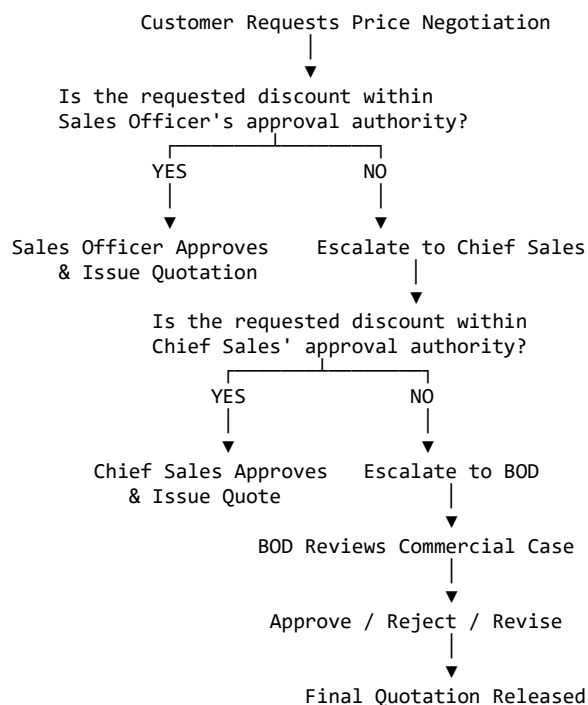


Current SOP

- Sales Officer performs Customer KYC as the initial qualification process.
- Chief Sales prepares the quotation based on approvals from all COGS Owners.
- VP Finance validates commercial and financial cost components, including margin policy, overhead allocation, and other financial considerations.
- VP Operations validates operational cost components, including logistics, vehicle registration (STNK), delivery, and other operational expenses.
- A quotation can only be released once all mandatory cost components have been validated by the respective COGS Owners.

B. Commercial Negotiation Process

The commercial negotiation process follows a predefined approval hierarchy based on delegated discount authority.



Current SOP

- Sales Officer is authorized to negotiate within a predefined discount threshold.
- Negotiation requests exceeding the Sales Officer's authority are escalated to the Chief Sales.
- Negotiation requests exceeding the Chief Sales' authority require approval from the Board of Directors (BOD) before the quotation can be finalized.

Business Challenges

The current process still relies heavily on manual coordination across multiple stakeholders, creating several operational risks:

- Incomplete validation of cost components before quotations are released.
- Miscommunication between commercial and COGS owners during pricing preparation.
- Manual approval process resulting in longer quotation turnaround time.
- Limited visibility of the actual profitability during commercial negotiations.
- Risk of issuing quotations with incomplete pricing components, leading to significantly lower profit margins than intended.

Business Requirement

Based on the current business process and identified challenges, VKTR requires a digital application that can strengthen the commercial quotation approval process by ensuring every quotation is validated against all applicable cost components before being released to customers.

The application is expected to:

- Integrate the quotation approval process into a single digital workflow with clearly defined approval authorities.
- Ensure all mandatory COGS components from the respective cost owners have been validated prior to quotation release.
- Support the existing commercial negotiation hierarchy based on delegated approval authority.
- Improve transparency and traceability of every pricing revision and approval through a centralized audit trail.
- Reduce dependency on manual coordination and minimize the risk of human error during quotation preparation.

Ultimately, VKTR expects the application to ensure that **every quotation released to customers has undergone complete cost validation, incorporates all required pricing components, and protects the company's targeted profit margin**, thereby eliminating the risk of margin leakage caused by incomplete pricing information or miscommunication during the quotation approval process.